



High-Risk, Prohibited, and Restricted Memberships

POLICY

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BEEM
CREDIT UNION

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Policy Author	Sandra Makortoff – Manager, Compliance Amy Cross – AML Program Manager
Subject Matter Expert(s)	Pattie Lamboo – VP Compliance, CAMLO Sandra Makortoff – Manager, Compliance Amy Cross – AML Program Manager
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1 Purpose

This High-Risk, Prohibited and Restricted Memberships Policy (the “Policy”) is intended for all employees and directors of Beem Credit Union (the Credit Union).

It provides guidance on:

- Relationships that are prohibited under the Credit Union’s Legislated Responsibilities or exceed the Credit Union’s money laundering and terrorist financing (ML/TF) risk appetite, and
- Dealing with relationships that present a high ML/TF risk.

Capitalized terms not defined in this document are described in the Anti-Money Laundering and Anti-Terrorist Financing Policy:

- For a complete list of the Credit Union’s Legislated Responsibilities, refer to Appendix A in the Anti-Money Laundering and Anti-Terrorist Financing Policy.

For an operational interpretation of this document, email the [AML Compliance Department](#).

2 Overview

The Policy reinforces the Credit Union’s risk stance by defining the types of memberships that are not permitted, and which require a second-line review to determine eligibility. For illustrative purposes and clarity, industries are grouped by the North American Industry Classification System (NAICS) sector throughout this document.

High-risk classification is established through the Credit Union’s risk assessment process, which evaluates prescribed risk factors including member demographics, transactional activity, product and service usage, geographic exposure, and open-source information.

3 Prohibitions

Prohibitions	Prohibitions dictate which countries, persons, industries, and entities the Credit Union will not, directly or indirectly, do business with. Under no circumstances will the Credit Union knowingly facilitate financial services to, from, or on behalf of, any prohibited countries, persons, industries, or entities.
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The Credit Union uses name-screening technology to identify actual and potential transactions to or from prohibited countries, persons, industries, and entities.

However, as such technology is not infallible, it is the responsibility of any employee conducting a transaction to:

- Make additional inquiries if a situation indicates a member may be possibly dealing with, directly or indirectly, a prohibited country, person, industry, or entity, and
- Submit an Unusual Activity Report (UAR) to the AML Compliance Department.

- Refer to the [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#) for further guidance on submitting a UAR.

3.1 Prohibited Countries

The Credit Union prohibits the provision of financial services, directly or indirectly, to persons and entities associated with any of the following (each a “Prohibited Country”):

Prohibited Countries:

- Crimean Region of Ukraine
- Democratic People’s Republic of Korea (“DPKR”), also known as North Korea
- Iran
- South Sudan
- Sudan
- Syria

Under no circumstances is a member permitted to, directly or indirectly, transfer funds to, or receive funds from, a Prohibited Country. Any attempted or completed transaction must be reported immediately to the AML Compliance Department. If the transaction is within the control of the Credit Union, the funds must be frozen.

If such a transaction is identified, whether completed or attempted, the AML Compliance Department will determine whether a Suspicious Transaction Report (STR) is required to be submitted to FINTRAC.

3.2 Prohibited Industries/Entities

Industries and entities defined as prohibited are not eligible for membership given the risk exceeds the Credit Union’s tolerance. Furthermore, matches with the following criteria are also strictly prohibited. The categories below include examples; contact the [AML Compliance Department](#) if further guidance is required.

- Entities which are domiciled and operated solely outside of Canada:
 - International corporations without operations based in Canada
- Industries whose activities are prohibited by Canadian law, and therefore deemed illegal:
 - Manufacturing and distribution of illicit narcotics or specified weapons
- Corporate structures and legal frameworks that obscure beneficial ownership:
 - Bare trusts or corporate bearer share entities
- Listed, or sanctioned, entities and individuals:
 - Terrorist groups, individuals or entities directly named as a subject of an order or regulation under an Act

The Credit Union prohibits the provision of financial services, directly or indirectly, to any person or business associated with any of the following (each a “Prohibited Industry/Entity”).

Prohibited Industries / Entities:	
NAICS Sector	Industry
51	Adult Entertainment (Pornography)
52	- Crowdfunding Platform - Foreign Financial Entity - Payday Lender - Shell Corporation - White-label ATM
71	Online Gambling

Under no circumstances will a member be allowed to, directly or indirectly, transfer funds to, or receive funds from, a Prohibited Industry/Entity. Any attempted or completed transaction must be reported immediately to the AML Compliance Department. If the transaction is within the control of the Credit Union, the funds must be frozen.

If such a transaction is identified, whether completed or attempted, the AML Compliance Department will determine whether a Suspicious Transaction Report (STR) is required to be submitted to FINTRAC.

3.3 Prohibited Relationships

The Credit Union will not enter a business relationship with an applicant who resides in a Prohibited Country. Any person that is associated with a Prohibited Industry/Entity, either directly or indirectly, is not eligible for Credit Union membership. This includes employment with, or an occupation associated with, an industry or entity deemed prohibited by a Credit Union policy (each a “Prohibited Occupation”).

If an existing relationship is determined to exceed the Credit Union’s ML/TF risk appetite, and the risk level cannot be sufficiently reduced in a timely manner, the CAMLO, Executive Leadership, and the Board must be informed immediately, and the relationship terminated as soon as reasonably feasible.

If such a relationship is identified, the AML Compliance Department will determine whether a Suspicious Transaction Report (STR) is required to be submitted to FINTRAC

4 Restricted and High-Risk Memberships

Through the course of business, the Credit Union may enter, or maintain, relationships with members that have a higher ML/TF risk (each a “High-Risk Member”). Such relationships are subject to additional restrictions in the form of ML/TF risk controls and must not exceed the Credit Union’s ML/TF risk appetite.

- Refer to the additional process in the [Ongoing Monitoring and Enhanced Due Diligence for High-Risk Memberships Guidelines](#) (the “High-Risk Guidelines”)

This section outlines situations where a member may be deemed a High-Risk Member due to an association with a specified country, occupation, industry, or political exposure.

It is the responsibility of an employee conducting a transaction to make additional enquiries if a situation raises the possibility that ML/TF risk may be elevated. Such inquiries must be documented in an Unusual Activity Report and submitted to the AML Compliance Department. Refer to the [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#) for further information.

The Credit Union acknowledges that some relationships with third-party vendors may be considered high risk also. For business purposes, the Credit Union may hold a relationship with a vendor which is deemed a FINTRAC reporting entity, or qualifies as a [High-Risk and Approval Required Business](#). A risk evaluation must be completed, in addition to due diligence practices to ensure any such relationship complies with our collective PCMLTFA obligations and does not exceed the Credit Union’s risk threshold. Refer to the [Procurement Framework](#) document for further guidance.

4.1 High-Risk Countries

The Credit Union considers the provision of financial services, directly or indirectly, to individuals and entities associated with any of the following countries (each a “High-Risk Country”) to be a higher risk for ML/TF due to sanction requirements set out in the legislated responsibilities, or due to being considered a tax haven.

A member who, directly or indirectly, receives funds from, or transfers funds to, a High-Risk Country is automatically considered a High-Risk Member, and is subject to enhanced due diligence measures.

4.1.1 Countries with Sanction Regulations

Legislated responsibilities include sanction requirements for the following countries:

• Belarus	• Iraq	• Russia	• Ukraine
• Central African Republic	• Lebanon	• Somalia	• Venezuela
• China	• Libya	• South Sudan	• Yemen
• Democratic Republic of the Congo	• Moldova	• Sri Lanka	• Zimbabwe
• Guatemala	• Myanmar	• Sudan	
• Haiti	• Nicaragua	• Syria	

The most recent listing of countries with sanctions imposed by Canada can be viewed on the [Government website](#).

4.1.2 Tax Haven Jurisdictions

A tax haven is a country that offers foreign businesses and individuals minimal or no tax liability for their bank deposits. Many of these regions have strong financial privacy laws that block access to deposit information by foreign tax authorities.

Countries considered to be tax havens:			
• American Samoa	• Cape Verde	• Jordan	• Singapore
• Andorra	• Cayman Islands	• Liechtenstein	• St. Lucia
• Anguilla	• Cook Islands	• Luxembourg	• St. Vincent & the Grenadines
• Antigua and Barbuda	• Curacao	• Macao	• Swaziland
• Armenia	• Dominica	• Netherlands	• Switzerland
• Aruba	• Faroe Islands	• New Caledonia	• Taiwan
• Bahamas	• Fiji	• Oman	• Thailand
• Bahrain	• Grenada	• Panama	• Trinidad & Tobago
• Belarus	• Guernsey, Channel Islands	• Peru	• Tunisia
• Belize	• Hong Kong	• Qatar	• United Arab Emirates
• Bermuda	• Isle of Man	• Samoa	• Vietnam
• Botswana	• Jamaica	• San Marino	• Virgin Islands, US
• British Virgin Islands	• Jersey, Channel Islands	• Seychelles	

4.1.3 Intermediary Jurisdictions and Locations of Concern

Financial intelligence analysis indicates the below intermediary jurisdictions are often used to obscure the source and destination of funds, with the goal of bypassing Canadian reporting requirements and restrictions.

Refer to the [Listed Person or Entity Property Reporting Guidelines](#) for further information.

Intermediary jurisdictions and locations of concern:	
United Arab Emirates	Illicit financial flows from China, Hong Kong, and Iran
Türkiye	Illicit financial flows from Russia
Countries of the Commonwealth of Independent States: Armenia, Azerbaijan, the Kyrgyz Republic, Kazakhstan, Moldova, Tajikistan, Turkmenistan, and Uzbekistan	Illicit financial flows from Russia

4.2 High-Risk and Approval Required Businesses

Organizations that are classified as *reporting entities* under FINTRAC obligations or businesses associated with an increased risk for ML/TF (each a “High-Risk and Approval Required Business”), may be eligible for Credit Union membership contingent on an enhanced due diligence review and formal approval from the AML Compliance Department.

The High-Risk and Approval Required Business list stipulates *non-competitive* for certain category descriptions. As some organization or business types may offer similar products and services provided by the Credit Union, or its subsidiaries, these potential relationships should also be evaluated from a strategic perspective prior to membership consideration.

The category descriptions below are simplified for clarity and brevity. As an example, a financial entity could include organizations such as loan companies, trust companies, or banks.

High-Risk and Approval Required Businesses:	
NAICS Sector	Nature of Business/Entity
31 – 33	- Licensed Cannabis Producer / Distributor / Retail (Dispensary) - Arms, Ammunition, and Munitions Manufacturer / Retailer
41	- General Goods (Import / Export) - Used Auto Parts Dealer or Recycling - Vape / Smoke Shop
44 – 45	- Convenience Store (Without Gas Station) - Gas Station - Liquor Store - Precious Metals & Stones Dealer (PMSD)* / Pawn Shop - Retail (Online Only) - Used Vehicle Dealer

High-Risk and Approval Required Businesses:	
NAICS Sector	Nature of Business/Entity
48 – 49	• Trucking / Freight Company
52	• Cheque Cashing Business* • Factoring Company* • Financial Entity* (Non-Competitive) • FinTech Entity (Non-Competitive) • Fundraising – Community Group • Life Insurance Company* (Non-Competitive) • Mortgage Lender* (Non-Competitive) • Payment Service Provider • Registered Money Service Business (MSB)* / Foreign Currency Exchange* • Registered Virtual Currency Exchange* • Securities Dealer* (Non-Competitive) • Title Insurer*
53	• Financing or Leasing Entity* (Non-Competitive) • Real Estate Brokerage* / Developer
54	• Accounting / Bookkeeping Firm* • Law Firm • Notary* (BC Licensed) • Tax Advisory Firm
56	• Armored Car Company* • International Employment Agency • Travel Agency / Tour Operator
71	• Licensed Gambling Establishment (Casino)*
72	• Cash Intensive Service Business
81	• Non-Profit Organization
91	• Immigration Consulting Business

* FINTRAC reporting entity

4.3 High-Risk Relationships

4.3.1 High-Risk Business Associations

Any principal, owner, authorized signer, beneficial owner, or an individual that is authorized to bind an entity associated with a High-Risk & Approval Required Business, **must also be formally approved** by the AML Compliance Department prior to onboarding.

A member who is employed in a subordinate role by a High-Risk and Approval Required Business is not automatically considered high risk, as this determination is based on the authority level of their role.

4.3.2 High-Risk Occupations

Occupations aligned with designated industries on the High-Risk and Approval Required Business list are also deemed high risk and due diligence measures should be undertaken by employees prior to onboarding, in particular ensuring that employer and occupation information is descriptive, purpose and intended nature of the relationship and intended use of the account are understood and documented. Know your member (KYM) information must be accurate and kept up to date throughout the business relationship.

High-Risk Occupations:		
• Accountant / Bookkeeper	• International Employment Consultant	• Online Retailer / Distributor
• Arms, Ammunition, and Munitions Dealer	• Lawyer	• Real Estate Agent / Broker
• Customs Broker	• Life Insurance Broker / Agent	• Real Estate Developer
• Gemologist / Jewelry Appraiser	• Logistics / Truck Driver	• Securities Broker
• Immigration Consultant	• Mortgage Broker	• Tax Advisor
• Importer / Exporter	• Notary (BC Licensed)	• Travel Agent / Tour Operator

4.3.3 Politically Exposed Person (PEP)

Any occupation, role, or association that qualifies an individual as a Politically Exposed Person (PEP) must be reviewed and approved by the AML Compliance Department prior to onboarding, or to maintain an existing relationship.

• Domestic PEP
• Foreign PEP
• Family member of a Domestic PEP or Foreign PEP
• Close associate of a Domestic PEP or Foreign PEP

- Head of International Organization (HIO)

Refer to the [Politically Exposed Person \(PEP\) and Head of International Organization \(HIO\) Determination Guidelines](#) for details on determining PEP status.

A member who holds Foreign PEP status is automatically classified as a High-Risk Member and is subject to enhanced due diligence measures. A member who qualifies as a Domestic PEP or HIO must be risk evaluated by the AML Compliance Department to determine if they will be deemed a High-Risk Member.

4.3.4 Other Considerations

Occupations that are highly transient, those who are unemployed, and students, may present unique risk considerations for the Credit Union, such as vulnerability to fraud schemes either as a victim or unknowing participant.

A member who is not associated with a High-Risk Country or a High-Risk and Approval Required Business, may still be deemed a High-Risk Member if they are associated with one or more indicators of ML/TF risk. Refer to the [MLTF Suspicious Transaction Indicators List](#) for further information.

If indicators for money laundering or terrorist activity financing are identified during membership or account opening for occupations or industries not included in this policy, consult the [AML Compliance Department](#) prior to proceeding.

4.3.4.1 Existing Memberships

Any existing member identified as a High-Risk Member following a policy update, will undergo an enhanced due diligence review by the AML Compliance Department. If the membership is in good standing and no flags for money laundering or terrorist financing are detected, approval **may** be granted by the AML Compliance Department to maintain the account under a *grandfathered* status. If concerns are identified, and determined to exceed the Credit Union's risk tolerance, the member will be demarketed.

5 Enhanced Due Diligence and Monitoring

The Credit Union will conduct periodic ongoing monitoring of all members based on their overall risk rating, with High-Risk Members undergoing more frequent and enhanced monitoring processes.

Enhanced due diligence and monitoring is directed by the AML Compliance Department; however, the process may involve branch employees, management and other departments involved in maintaining the relationship with the member.

Enhanced monitoring will include, but is not limited to, obtaining the following information from High-Risk Members:

- Documentation to support transactions and activity seen in account(s) (i.e. invoices, bills of sale, etc.);
- Annual tax returns;

- Licensing;
- AML/ATF policies and procedures;
- Biennial reviews and FINTRAC examinations;
- Updated supporting business documentation (i.e. Central Security Registry, Partnership Agreements, etc.); or
- Updated PEP Statements from beneficial owners.

Depending on the outcome of the review conducted by the AML Compliance Department, additional documents may be requested based on the findings.

High-Risk Members will undergo enhanced monitoring, at minimum, on an annual basis.

Refer to the [Ongoing Monitoring and Enhanced Due Diligence for High-Risk Memberships Guidelines](#) for more information.

6 Withdrawal of Services

When a membership is determined to fall outside of risk tolerance based on the nature of the business, financial association with a prohibited relationship, or unusual activity, the Credit Union may opt to withdraw services.

Refer to the [Withdrawal of Services Guidelines](#) and [Withdrawal of Services Process](#) for further guidance.

7 Recordkeeping

The Credit Union will retain records of all transactions and relationships with persons and entities described in this Policy. Such records will include, but are not limited to, the following:

- Unusual Activity reports;
- FINTRAC Suspicious Transaction reports;
- Account Agreements;
- Ongoing monitoring and enhanced due diligence reports; and
- Withdrawal of Services records.

8 Related Policies, Guidelines, and Procedures

- [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#)
- [MLTF Suspicious Transaction Indicators List](#)
- [Ongoing Monitoring and Enhanced Due Diligence for High-Risk Memberships Guidelines](#)

- [Politically Exposed Person \(PEP\) and Head of International Organization \(HIO\) Determination Guidelines](#)
- [Wire Transfer Guidelines](#)
- [Onboarding High-Risk Membership Guidelines](#)
- [Withdrawal of Services Guidelines](#) and [Withdrawal of Services Process](#)

Version History

DATE	VERSION	CHANGE
July 15, 2026	002	Updated Policy Author and Subject Matter Experts New sections: • Overview • Intermediary Jurisdictions and Locations of Concern • High-Risk Business Associations • High-Risk Occupations • Politically Exposed Person (PEP) • Other Considerations ◦ Existing Memberships Sections updated: • Prohibitions • Prohibited Industries/Entities • Prohibited Relationships • Restricted and High-Risk Memberships • High-Risk Countries – new headings added ◦ Countries with Sanction Regulations ◦ Tax Haven Jurisdictions • High-Risk and Approval Required Businesses • Withdrawal of Services • Related Policies, Guidelines, and Procedures
August 25, 2025	001	Initial Version Created